24STCV11892 24STCV11892

County: los-angeles

Division: Civil Law and Motion

Department: 515

Hearing date: 2026-06-25

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C515%2C06%2F25%2F2026

Source SHA-256: 999f29dbf35ecf7c74c2a7fdf79889a0e13b74f71decd37f206b3884105f2316

Case Number: 24STCV11892 Hearing Date: June 25, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion for Preliminary Approval of PAGA Settlement

The Motion for Preliminary Approval of PAGA Settlement filed by Plaintiff is denied without prejudice.

BACKGROUND

Plaintiff Sakari Singleton (Plaintiff) filed this action against Air Tutors LLC and Hasan Ali (collectively “Defendants”), alleging that Defendants subjected her to a hostile work environment based on sex, misclassified her as an exempt employee, failed to comply with numerous wage-and-hour requirements, failed to prevent harassment, retaliated against her for complaining about Labor Code violations, and constructively terminated her in violation of public policy and statutory whistleblower protections. Plaintiff further alleges that Defendants’ practices harmed similarly aggrieved employees and constituted unfair business practices.

The causes of action are: (1) Wrongful Termination in Violation of Public Policy; (2) Failure to Pay Minimum Wages; (3) Failure to Furnish Wage and Hour Statements; (4) Failure to Maintain Payroll Records; (5) Failure to Pay Meal and Rest Period Compensation; (6) Failure to Pay Wages in a Timely Manner; (7) Failure to Pay Overtime Compensation; (8) Waiting Time Penalties; (9) Unfair Competition; (10) Hostile Work Environment Harassment; (11) Failure to Prevent Hostile Work Environment Harassment; (12) Retaliation in Violation of Labor Code Section 1102.5; and (13) Recovery of Civil Penalties Under the Private Attorneys General Act.

Plaintiff filed a Motion for Preliminary Approval of PAGA Settlement.

LEGAL STANDARD

Labor Code section 2699, subdivision (l)(2) states: “The superior court shall review and approve any settlement of any civil action filed pursuant to this part [Labor Code Private Attorneys General Act of 2004 (“PAGA”)].” It further provides that “[t]he proposed settlement shall be submitted to the [Labor and Workforce Development Agency (LWDA)] at the same time that it is submitted to the court.” (Lab. Code, § 2699, subd. (l)(2).)
With respect to PAGA Ex. Bs, penalties recovered by aggrieved employees must be distributed as follows: 75 percent to the LWDA and 25 percent to the aggrieved employees. (Lab. Code, § 2699, subd. (i).) A prevailing employee is entitled to an award of reasonable attorney’s fees and costs incurred in the action. (Lab. Code, § 2699, subd. (g)(1).)

In Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56, 77 (Moniz), (disapproved on other grounds in Turrieta v. Lyft, Inc. (2024) 16 Cal.5th 664, 710) the court held “a trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.”

Similarly, in the context of class action settlements, the trial court must determine that the settlement is fair, reasonable, and adequate to all concerned. (Reed v. United Teachers Los Angeles (2012) 208 Cal.App.4th 332, 337.) “[T]here is a presumption of fairness when (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the trial court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (Ibid.) While distinct from class actions, because they share the same “fair, adequate, and reasonable” standard, the presumption of fairness is equally applicable to PAGA settlements.

ANALYSIS

I. Notice Requirement

The Court previously denied Plaintiff's motion without prejudice because Plaintiff failed to include a proof of service on the LWDA. Plaintiff has cured that defect. Plaintiff has filed a proof of service showing that, on May 20, 2026, Plaintiff served the LWDA, by electronic filing, with the Notice of Motion and Motion for Approval of PAGA Settlement, the Memorandum of Points and Authorities, the Declaration of Jonathan LaCour and its exhibits, including the Settlement Agreement attached as Exhibit B, and the proposed order. (Proof of Service, filed May 20, 2026.) The Court finds that the notice requirement is met.

II. Reasonableness of Settlement

The settlement provides for Defendants to pay a Gross Settlement Amount of $45,000. (LaCour Decl. ¶¶ 8, 17, Ex. B ¶ 3.) The following deductions are to be made from the Gross Settlement Amount: up to $12,500 to Plaintiff's counsel for litigation costs and expenses, and up to $6,000 to the settlement administrator. (LaCour Decl. ¶ 8, Ex. B ¶ 4(a).) Plaintiff represents that she has agreed to forgo reimbursement of her litigation costs to maximize the amount available for distribution, resulting in a Net PAGA Settlement Amount of at least $39,000 ($45,000-$6,000 for administrator fees). (LaCour Decl. ¶ 8.) Of that amount, 75 percent will be paid to the LWDA, and 25 percent will be distributed to the approximately 100 aggrieved employees who worked for Defendants during the Covered Period of November 14, 20 22, to the date of approval. (Ex. B ¶¶ A, B, ¶ 4(a), (b).) Plaintiff does not seek attorney's fees or a service award through this PAGA settlement, and Plaintiff's individual claims are the subject of a separate settlement. (Ex. B¶ D, ¶ 3.)

A. Presumption of Fairness

The Court finds that the settlement is entitled to a presumption of fairness. The parties settled following a July 24, 2025, mediation before Todd A. Smith, Esq., an experienced wage-and-hour mediator, and after arm's-length negotiations. (LaCour Decl. ¶ 14.) The parties engaged in both formal and informal discovery, including the exchange of informal discovery and the inspection and analysis of time punches and documents. (LaCour Decl. ¶¶ 13, 15.) Plaintiff's counsel is experienced in wage-and-hour representative litigation. (LaCour Decl. ¶¶ 26-28.) The Court finds that this evidence is sufficient to support a presumption of fairness.

B. Settlement Amount

Despite the presumption of fairness, the Court cannot determine on this record whether the settlement amount is fair, adequate, and reasonable.

A court cannot find a PAGA settlement fair, adequate, and reasonable unless it is provided with sufficient information about the strength of the claims and the realistic range of recovery to make an independent assessment. (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Here, Plaintiff's counsel describes the wage-and-hour theories and the general risks of continued litigation but supplies no quantification of the claims. The moving papers do not identify the number of pay periods or workweeks at issue, the per-violation penalty amounts sought, Defendants' maximum potential PAGA exposure, or any discounted estimate of the realistic value of the released claims. (LaCour Decl. ¶¶ 17-25.) Citing Kullar, Plaintiff represents that counsel performed this very analysis and developed a damages model and completed an evaluation of Defendants' defenses, but fails to include any of that analysis in the Motion or supporting declaration. (Mot. p. 10:21-25; LaCour Decl. ¶¶ 15-19.) Without this information, the Court cannot determine what the released claims are worth or whether the $45,000 Gross Settlement Amount represents a fair, adequate, and reasonable compromise. Plaintiff has not offered sufficient evidence to permit the Court to assess the relative strength of the claims and the range of possible settlement values. Accordingly, the Motion is denied without prejudice.

C. Plaintiff's Undisclosed Individual Settlement

Additionally, the Court's ability to assess the fairness of the PAGA Settlement is hampered by. Plaintiff's lack of disclosure of the terms of her individual settlement.

Plaintiff does not prosecute the PAGA claim in her own interest. She brings it as the state's proxy or agent, and the civil penalties she recovers belong principally to the LWDA and the aggrieved employees rather than to her. (Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81.) For that reason, a court reviewing a PAGA settlement must scrutinize whether, in resolving the action, the plaintiff has adequately represented the interests of the state and the aggrieved employees, and must satisfy itself that the settlement is fair, reasonable, and adequate in view of PAGA's purposes. (Moniz, supra, 72 Cal.App.5th at pp. 76-77, 89.)

A simultaneous individual settlement directly implicates that duty. A plaintiff who settles her own claims at the same time she settles the representative claim has an incentive to accept a modest PAGA recovery, which is shared with others, in exchange for a larger individual recovery, which she keeps. The representative settlement may then reflect not the value of the aggrieved employees' claims but the price Plaintiff was willing to assign to those claims to enlarge her own. The Court cannot rule out that possibility without the terms of the individual settlement.

On any renewed motion, Plaintiff shall disclose the amount and material terms of her individual settlement and shall explain why the allocation between her individual recovery and the representative recovery is fair to the state and the aggrieved employees. Absent that showing, the Court cannot determine that Plaintiff has adequately represented the interests she was authorized to protect.

III. Notice to Aggrieved Employees

Additionally, the proposed notice to aggrieved employees does not match the terms of the settlement. The proposed notice states that the settlement administrator will use the Total PAGA Settlement to pay, among other things, Plaintiff's Incentive Payment and Plaintiff's Counsel's attorney's fees and expenses. (LaCour Decl., Ex. C, § IV.) However, the settlement does not provide for an incentive payment or for an award of attorney's fees. Moreover, Plaintiff represents that she is forgoing reimbursement of costs. (Mot. at p.4: 10-11.) These errors should be fixed when submitted with Plaintiff's renewed motion.

CONCLUSION

Plaintiff's Motion for Preliminary Approval of PAGA Settlement is denied without prejudice. Plaintiff may renew the motion to address the deficiencies identified above.